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Secure Distribution Venture Pvt. Ltd.

WHAT IS BILL-TO-SHIP STRUCTURES?

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Chapter 1: Product Overview & The GST Deeming Fiction (IGST Act Section 10(1)(b))

Bill-to-Ship (also known as 'Bill To - Ship To' or B2S) financing structures represent one of the most operationally refined and statutory-linked transactional products within the modern Indian supply chain finance (SCF) landscape. At its core, a Bill-to-Ship transaction occurs when a buyer (often an intermediate distributor or a major corporate manufacturer) instructs a supplier to bill them for a shipment of goods but physically deliver those goods directly to a third party (the ultimate consignee, sub-dealer, or retail hub). This structure creates a split between the invoicing flow and the physical movement of goods.

Historically, trade finance was rigidly bound to traditional, single-channel bilateral invoices, where the bill and the physical cargo concomitantly moved from point A to point B. In highly optimized manufacturing environments, however, this caused severe logistical bottlenecks and double-taxation leakage. A corporate buyer purchasing raw steel, for example, would have to receive the steel at their own warehouse, only to re-ship it immediately to their third-party fabrication subcontractor, incurring massive freight costs, physical handling risks, and working capital delays.

The Statutory Pivot: Section 10(1)(b) of the IGST Act, 2017

The introduction of the Goods and Services Tax (GST) in 2017 formally recognized and legally codified this structure under Section 10(1)(b) of the Integrated Goods and Services Tax (IGST) Act, 2017. This section introduces a critical 'legal deeming fiction' to establish the place of supply for taxation purposes. Under this statutory rule, where goods are delivered by the supplier to a recipient or any other person on the instruction of a third person, whether acting as an agent or otherwise, before or during movement of goods, either by way of transfer of documents of title to the goods or otherwise, it shall be deemed that the said third person has received the goods.

> ★ *STATUTORY UNDERPINNING: SECTION 10(1)(b) OF THE IGST ACT, 2017*
>
> *"Where the goods are delivered by the supplier to a recipient or any other person*

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> *on the direction of a third person, whether acting as an agent or otherwise, before or during movement of goods, either by way of transfer of documents of title to the goods or otherwise, it shall be deemed that the said third person has received the goods and the place of supply of such goods shall be the principal place of business of such person."*

Consequently, the place of supply of such goods is designated as the principal place of business of such third person (the instruction-giver/buyer). This legal deeming fiction is what enables the flow of Input Tax Credit (ITC) between all three parties without physical intermediary warehousing, and it serves as the ultimate risk-mitigant for commercial lenders underwriting Bill-to-Ship structures.For finance rookies, understanding this deeming fiction is essential. It means that even though the goods physically bypass the Buyer/Anchor and land directly with the Consignee, the commercial bank or NBFC can legally treat the invoice raised on the Buyer/Anchor as fully enforceable, completed, and backed by a valid transfer of ownership. This legal foundation prevents debtors from claiming non-delivery of goods to deny payment liability when the financier seeks final collection.

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Chapter 2: Structural Typology: Upstream vs. Downstream Bill-to-Ship Financing

In the Indian institutional lending framework, Bill-to-Ship credit lines are not monolithic. They are strategically deployed across two main directions of the supply chain value network: Upstream (Supplier-Focused/Vendor Finance) and Downstream (Dealer-Focused/Channel Finance). The alignment of invoicing, physical cargo, and credit risk varies fundamentally between these two structural typologies.

Upstream Bill-to-Ship Structure (Vendor-Led Reverse Factoring)

In an Upstream Bill-to-Ship structure, a small-and-medium enterprise (MSME Supplier A) sells materials to a highly creditworthy Corporate Anchor (Buyer B). However, Buyer B directs Supplier A to ship the goods directly to a fabrication plant or sub-assembly contractor (Consignee C) who works on behalf of Buyer B. The financier discounts the invoice raised by Supplier A on Buyer B. Because the ultimate payer is the AAA-rated Corporate Anchor (Buyer B), the MSME supplier secures early payment at a highly competitive interest rate based on the corporate's credit score, while the bank relies on a watertight, approved trade ledger.

Downstream Bill-to-Ship Structure (Dealer-Led Channel Finance)

Conversely, in a Downstream Bill-to-Ship structure, a Corporate Anchor (Seller/OEM B) bills its intermediate distributor (Buyer A), but physically ships the goods directly to a local retail franchise or end-customer (Consignee C) to optimize logistics. The financier provides a Channel Financing line to Buyer A, discounting the invoice raised by Corporate Anchor B on Buyer A. The primary underwriting focus here is on the buyer's (distributor's) historical stock velocity and repayment capacity, backed by a corporate stop-supply covenant from the Anchor Seller.

The following comparative taxonomy provides a multidimensional map of the operational, commercial, and risk factors separating these two structures from standard open-account factoring:

PARAMETER	UPSTREAM BILL-TO-SHIP	DOWNSTREAM BILL-TO-SHIP	OPEN ACCOUNT FACTORING
Primary Debtor	AAA/AA Corporate Anchor (Buyer B)	Distributor / SME Dealer (Buyer A)	Unrated SME / Scattered Buyers

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Goods Delivery	Shipped to C on instructions of B	Shipped to C on instructions of A	Bilateral delivery to Buyer
Primary Credit Risk	Anchor Credit Default Risk	Distributor Liquidity / Default Risk	Scattered Debtor Credit Risk
GST Compliance	Two bills (A->B, B->C); One E-Way Bill	Two bills (B->A, A->C); One E-Way Bill	Single bilateral Bill and E-Way Bill
Financing Mechanism	Reverse Factoring / Vendor Discounting	Dealer Channel Finance / Inventory Line	Standard Invoice Factoring (with/no recourse)

By analyzing the comparative table, rookies can immediately identify that the Upstream Bill-to-Ship structure offers financiers a significantly lower risk profile. By shifting the primary recovery focus to an investment-grade Corporate Anchor who has legally directed and accepted the physical supply to Consignee C, the bank eliminates standard SME retail default risks and can offer pricing spreads that are significantly lower than standard open-account factoring.

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Chapter 3: How the Product Structure Works: The End-to-End Operational Lifecycle

To operationalize a Bill-to-Ship transaction, lenders and corporate treasuries utilize highly automated digital portals. The entire transaction moves through five distinct, chronological phases, integrating physical supply, digital taxation matching, underwriting clearance, capital disbursal, and automated collection sweeps. This multi-party transaction lifecycle is detailed below:

PHASE	PHYSICAL & DIGITAL ACTION	OPERATIONAL CREDIT & BANKING LEDGER FLOW
Phase 1	Order Placement & Tripartite Instruction	Buyer B places an order with Supplier A, directing delivery to Consignee C. Tripartite SCF agreement is activated in the bank's portal, referencing the Non-Dispute Covenant.
Phase 2	Invoicing, E-Way Bill & Physical Dispatch	Supplier A dispatches goods directly to C. A generates two documents: 1. A tax invoice billed to B ('Bill to B, Ship to C'). 2. A single E-Way Bill detailing C as the physical consignee.
Phase 3	ERP Upload & Real-Time GSTN Verification	Supplier A uploads the invoice to the bank's SCF portal. The bank's system runs real-time API integrations with the GSTN portal to verify GSTR-1 filings and matches E-Way Bill status to prevent fraud.

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Phase 4	Anchor Approval & Disbursal (90% Advance)	Buyer B digitally logs into the portal and accepts the invoice, waiving quality set-off claims. The lender immediately discounts the invoice, dispatches a 90% advance to A, and keeps 10% in a margin reserve.
Phase 5	Escrow Sweep & Maturity Settlement	On the usance due date (e.g., 90 days), Buyer B remits the full invoice value into the lender's designated escrow account. The bank recovers its principal, interest, and releases the 10% reserve to A.

A critical structural pivot occurs during Phase 3 and Phase 4. Under traditional credit appraisal, a bank would have to manually inspect delivery receipts and physically call the warehouse at Consignee C to verify the receipt of goods. In digital Bill-to-Ship programs, this is completely bypassed using automated digital API rails. The system matches the unique E-Way Bill and the GSTR-1 return. If there is any mismatch in the physical consignee's GSTIN or the transaction's place of supply, the portal automatically blocks the invoice, eliminating the risk of fake invoice generation.

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Chapter 4: Underwriting Standards, Financial Ratios & GST Validation Frameworks

Because Bill-to-Ship financing relies on dynamic, invoice-by-invoice disbursals, banks have transitioned from legacy asset-heavy collateral evaluations to highly automated transaction-backed underwriting frameworks. Under these standards, credit risk is evaluated using three key criteria: the credit profile of the Corporate Anchor, the operational health of the MSME supplier, and real-time GST transaction analytics.

1. Corporate Anchor Credit Standards

In an Upstream Bill-to-Ship facility, the primary payer is the Corporate Anchor (Buyer B). Consequently, financiers establish strict credit hurdles for Corporate Anchors to limit default risk:

• Minimum Credit Rating: Lenders mandate an external rating of AAA, AA, or A- from SEBI-registered rating agencies.

• Leverage & Coverage: The Anchor must maintain a Debt-Service Coverage Ratio (DSCR) exceeding 1.25x and a Debt-to-Equity ratio of less than 2.5:1.

• Dilution Rate: The historical rate of trade credit dilutions (returns, debit notes, quality disputes) must be under 2.5% of annual trade volume.

2. MSME Supplier Onboarding & Scoring Models

While the primary credit risk lies with the Anchor, the MSME supplier (Seller A) must satisfy baseline operational criteria:

• Relationship Vintage: The supplier must have an active trading relationship with the Anchor of at least 2 years.

• Credit Score: A minimum personal CIBIL score of 700 for promoters and a CIBIL MSME Rank (CMR) of CMR 1 to CMR 4.

• Alternate Data Scoring: Financiers utilize automated banking statement analyzers to assess monthly cash flow volatility, average balance ratios, and cheque-bounce rates.

3. GST Transaction Validation and GSTR-2B Matching

To prevent fake invoicing and double-financing, commercial banks deploy automated API gates connected directly to the Goods and Services Tax Network (GSTN):

• GSTR-2B Auto-Reconciliation: The bank's system matches the supplier's GSTR-1 sales filings with the Anchor's GSTR-2B input tax credit ledger in real time. Disbursals are only triggered if the invoice appears as fully verified and matched in the Anchor's GSTR-2B.

• E-Way Bill Life-Cycle Tracking: The unique E-Way Bill (EWB) must be active and matched to the

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vehicle registration number and physical distance. The portal monitors the EWB status and blocks financing if the E-Way bill is canceled or has not transitioned to 'Delivered' status within the regulatory travel window.

> ★ *CREDIT PERSPECTIVE: THE POWER OF GST TRANSACTION ANALYSIS*
>
> *By matching GSTR-1 sales filings directly to the GSTR-2B credit ledger, financiers completely eliminate the risk of 'accommodation bills' or fraudulent invoices. The GST portal serves as an absolute, tamper-proof notary of real-time trade, enabling banks to fund multi-crore transactions for asset-light MSMEs with zero land collateral.*

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Chapter 5: Legal Framework, CERSAI Charges & Multi-Party Agreements

The commercial viability of a Bill-to-Ship credit line rests upon a watertight legal architecture. Because physical goods never touch the Buyer/Anchor (Buyer B), lenders must construct a legally binding network of contracts to ensure debt enforceability, seniority of charge, and fraud mitigation under Indian commercial law.

1. Legal Assignment of Actionable Claims (Section 130 of the Transfer of Property Act, 1882)

Under Section 130 of the Transfer of Property Act, 1882, the trade receivable (the right to receive payment) is legally classified as an 'actionable claim'. To discount invoices, the MSME supplier must legally assign this actionable claim to the bank. This assignment transfers all rights, remedies, and recovery options to the lender. Once the assignment is executed, the bank holds the absolute right to recover the debt from the Corporate Anchor (Buyer B) directly, fully independent of any operational relationship or subsequent disputes between B and C.

2. CERSAI Charge Registration and the Factoring Regulation Act, 2011

To safeguard against 'double-financing'—where a fraudulent borrower discounts the same invoice with multiple banks—the Factoring Regulation Act, 2011 mandates that all factoring or receivables discounting transactions must be registered on the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI). Under Section 19 of the Act, the financier must register the charge within a strict, non-negotiable **10-day statutory window** from the date of disbursal. This registration establishes legal seniority, ensuring the bank holds first charge over the book debts in the event of the borrower's insolvency.

3. The Tripartite Agreement & Non-Dispute Covenant

The cornerstone legal contract in a Bill-to-Ship structure is the Tripartite Agreement executed between the Supplier, the Corporate Anchor, and the Bank. This document binds all parties to two critical covenants:

• Non-Dispute Covenant (Non-Set-Off): The Corporate Anchor contractually waives all rights to set-offs, commercial deductions, or payment delays based on product quality, late delivery, or operational disputes. Once the Anchor approves the invoice in the portal, their payment obligation to the bank becomes unconditional, absolute, and legally binding.

• Escrow Account Mandate: The Anchor agrees to remit all invoice payments directly into a designated, bank-controlled Escrow Account. Any diversion of funds to the supplier's standard current account is legally classified as a default under the credit facility.

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Additionally, under **Tata Capital's Master Terms and Conditions**, the financier maintains a comprehensive set of 'Conditions Precedent' (CP) and 'Negative Covenants'. The supplier must provide an income tax clearance certificate under Section 281(1)(ii) of the Income Tax Act, 1961, verifying that there are no outstanding tax liabilities that could lead to the attachment of book debts by the government, and they must consent to a first, exclusive charge over all assigned trade receivables.

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Chapter 6: Market Sizing, Suitable Industries & Commercial Demands in India

Bill-to-Ship structures are heavily utilized in high-growth, asset-light, and multi-tiered manufacturing and trading ecosystems in India. As corporate India scales to meet global supply chain integration demands, this financial product has emerged as a critical working capital catalyst.

High-Potential Sectors and Business Profiles

This product is best suited for industries characterized by high raw material volumes, multi-stage subcontracting, and consolidated dealer-retail networks:

• Automotive & Heavy Engineering: Auto OEMs (such as Tata Motors or Mahindra) buy component sub-assemblies. They direct their tier-1 suppliers to ship raw metal or machined parts directly to tier-2 stamping units for processing, while the OEM accepts the bill to optimize cash flows.

• Consumer Electronics & PLI Schemes: In line with India's Rise as a Global Force in Consumer Electronics and Durables, electronics OEMs utilize Bill-to-Ship extensively. Major anchors purchase display panels or chipsets and ship them directly to contract EMS manufacturers (such as Foxconn or Dixon), leveraging their bulk purchasing credit rating to support their component suppliers.

• Fast-Moving Consumer Goods (FMCG): FMCG majors bill regional super-distributors but ship directly to district-level warehouses to reduce inventory holding costs and logistical overheads.

• EPC & Infrastructure: Engineering contractors purchase massive steel and cement orders, directing suppliers to ship directly to active highway or metro construction project sites, while the corporate headquarters accepted the central invoice.

SECTOR	BILL-TO-SHIP APPLICABILITY	TYPICAL BUSINESS PROFILES & ROLES
Automotive OEM	Tier-1 component delivery to Tier-2 job-work plants on instructions of AAA OEM Anchor.	Job workers, foundry units, stamping shops, and tier-1 sub-assemblers.
Consumer Durables	Component imports/domestic supply	Printed Circuit Board (PCB) suppliers, injection molders, and contract EMS giants.

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	delivered to EMS contract manufacturers.	
Infrastructure / EPC	Direct raw material (cement/steel) shipping to active remote project sites.	Structural steel fabricators, cement manufacturers, and infrastructure sub-contractors.
Agri-Commodities	Direct crop shipping from mandis to processing mills on instructions of corporate traders.	Agri-processing mills, cold-storage warehouses, and corporate food brands.

The institutional market for Bill-to-Ship credit lines is spearheaded by Public Sector Banks (PSBs), Private sector banks, and leading NBFCs. The **State Bank of India (SBI)**, as the nation's premier lender, maintains massive, market-defining digital supply chain portfolios—including its industry-leading **Electronic Dealer Financing Scheme (e-DFS) with outstanding credit limits of ₹49,261 Crores** and its **Electronic Vendor Financing Scheme (e-VFS) holding outstanding limits of ₹28,092 Crores** (as of FY2025). These state-of-the-art digital frameworks process billions in daily transactions, showcasing the huge commercial scale of automated supply chain credit in India.

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Chapter 7: Commercial Mechanics, Pricing Models & Daily Reducing Balance Economics

The commercial mechanics and pricing architecture of Bill-to-Ship structures are uniquely designed to align borrowing costs with actual capital usage. Unlike traditional corporate term loans, which carry rigid, fixed repayment schedules and flat monthly interest, Bill-to-Ship programs operate on a transaction-by-transaction, daily reducing balance interest computation framework.

1. Daily Reducing Balance Interest & Risk Spreads

Interest is calculated strictly on the outstanding, active advanced principal balance of each tranche on a daily basis. The interest rate is typically linked to external benchmarks under RBI directions, such as the **External Benchmark Lending Rate (EBLR)** or the marginal cost of funds (MCLR) plus a risk-premium spread. Because Bill-to-Ship programs utilize the strong credit rating of the Corporate Anchor (Buyer B) as the primary underwriters' mitigant, the interest rate spread is significantly lower (typically ranging from **8.0% to 10.5% p.a.** simple interest) compared to standard MSME credit lines, which carry spreads upwards of **13.0% to 16.0% p.a.** on an unsecured basis.

2. Processing Fees, GST, and Service Charges

To establish and operate a Bill-to-Ship digital line, financiers charge structured processing fees and transaction fees:

• Limit Setup Fee: A one-time or annual renewal fee ranging from 0.10% to 0.25% of the total sanctioned credit limit.

• GST Application: Under the Indian tax framework, Goods and Services Tax (GST) is applied at a strict **18%** strictly on the processing fee, service charges, and transaction fees. It is critical for rookies to note that the core interest/discount charge is completely GST-exempt.

• Commitment Charges: Lenders may levy commitment charges (ranging from 0.25% to 0.50% p.a.) if the corporate's overall line utilization falls below a pre-agreed threshold (such as 65% of the sanctioned pool).

3. The Treasury Value of the Interest Tax Shield

For corporate borrowers and MSMEs, the interest paid on Bill-to-Ship financing represents a fully tax-deductible operational expense under Section 36(1)(iii) of the Income Tax Act, 1961. This tax deductibility creates a valuable **Interest Tax Shield**. If an enterprise operates at the standard Indian corporate tax rate of **25%** (or **30%** plus surcharges), the effective after-tax cost of borrowing is significantly lower than the nominal interest rate.

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Chapter 8: Regulatory Compliance, IRACP Norms & 'Out of Order' Technical Defaults

Because Bill-to-Ship structures involve massive transactional credit pools, they are strictly regulated by the Reserve Bank of India (RBI). Financiers must maintain absolute compliance with guidelines governing income recognition, digital data privacy, and accounting disclosures.

1. RBI Income Recognition, Asset Classification, and Provisioning (IRACP) Norms

Commercial banks are bound by the strict RBI IRACP directions to monitor asset quality. For transaction-based Bill-to-Ship lines, if any individual discounted invoice remains unpaid by the Corporate Anchor past a strict **90-day overdue window from its usance maturity date**, the entire credit line must be immediately classified as a Non-Performing Asset (NPA). Lenders monitor early stress using Special Mention Account (SMA) triggers:

• SMA-0: Principal or interest overdue between 1 to 30 days.
• SMA-1: Principal or interest overdue between 31 to 60 days.
• SMA-2: Principal or interest overdue between 61 to 90 days.
• NPA: Overdue past 90 days. This classification triggers mandatory provisioning of 15% for secured portions under RBI rules.

2. RBI Digital Lending Directions and Data Privacy

Under the RBI's comprehensive **Digital Lending Directions**, all digital sourcing, underwriting, and collection processes must adhere to strict consumer protection and data security rules:

• Default Loss Guarantee (DLG): Any DLG or first-loss-default arrangements with fintech platforms or LSPs must be strictly capped at **5%** of the total underlying loan portfolio to prevent systemic credit risk accumulation.
• Data Residency: All trade transaction data, GSTR ledgers, personal details, and financial records must be stored strictly on local servers residing within the geographical boundaries of India.
• No Contact Harvesting: Digital lending apps and LSPs are strictly prohibited from accessing smartphone contacts, media folders, or personal data.
• Fair Collection Hours: Any debt recovery or collection outreach must occur strictly within the designated, fair practice window of **8:00 AM to 7:00 PM**.

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3. Accounting Classifications Under Indian Accounting Standards (Ind AS)

Corporate Buyers (Buyer B) participating in Bill-to-Ship structures must navigate precise accounting treatment under Indian Accounting Standards (Ind AS):

• Ind AS 109 (Trade Payables vs. Bank Borrowings): If the tripartite agreement modifies the trade terms too extensively (e.g., extending usance past normal commercial credit circles or changing credit pricing into bank interest charges), the liability must be reclassified from 'Trade Payables' to 'Bank Borrowings' on the Corporate's balance sheet, impacting leverage and debt covenants.

• Ind AS 7 & Ind AS 107 Disclosures: Corporates are mandated to provide transparent qualitative and quantitative disclosures regarding the size, terms, and liquidity cushions of their supplier finance programs, ensuring transparency for institutional investors.

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Chapter 9: Real-World Case Study (Vibrant Electro-Plast Pvt. Ltd. - INR Math)

To bridge the gap between financial theory and commercial banking operations, we analyze a detailed, step-by-step mathematical scenario demonstrating the financial optimization, risk margins, daily reducing interest, and cash-flow benefits of a Bill-to-Ship credit facility in the Indian manufacturing sector.

The Scenario and Transaction Parameters

• Supplier (A): Vibrant Electro-Plast Pvt. Ltd. (Pune-based MSME supplier of electronic sub-assemblies)
• Corporate Anchor (B): Apex Consumer Electronics India Ltd. (AAA-rated corporate consumer durables OEM)
• Ultimate Consignee (C): Zenith Retail Outlets (Bengaluru-based warehousing hub of Apex Consumer Electronics)

Apex Consumer Electronics (Buyer B) places a bulk purchase order worth **₹1,00,00,000 (₹1 Crore)** with Vibrant Electro-Plast (Supplier A). Under the purchase agreement, Apex directs Vibrant to ship the electronic sub-assemblies physically to its Bengaluru retail hub (Consignee C), but bills the tax invoice to Apex's corporate headquarters in Mumbai. The usance period is set at **90 days** from invoice acceptance. The current corporate tax rate for both enterprises is **25%**.

The Financial Variables Ledger

Vibrant Electro-Plast (Supplier A) maintains a pre-shipment/post-shipment bill-discounting line with an commercial bank linked to the EBLR. The following table summarizes the financial parameters governing this credit facility:

FINANCIAL VARIABLE	VALUATION / PERCENTAGE	OPERATIONAL APPLICATION BASIS
Consignment Invoice Value	₹1,00,00,000	Gross value inclusive of GST
Early Cash Discount (1.5%)	₹1,50,000	Offered by Apex to pay within 5 days

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Lender Cash Margin (10%)	₹9,85,000	Held in reserve; released on Day 90
Financing Interest Rate	8.50% p.a.	Simple interest (365-day basis)
Bank Processing Fee	0.10% of limit	Upfront charge subject to 18% GST

Part I: Invoice Disbursal and Net Day 1 Payout

Upon physical dispatch to Consignee C and real-time validation of GSTR-2B, Apex Consumer Electronics accepts the bill. The bank executes the Bill-to-Ship invoice discounting. The step-by-step ledger calculations are as follows:

1. Early Cash Discount: ₹1,00,00,000 * 1.5% = ₹1,50,00,000
2. Discounted Billing Invoice Value: ₹1,00,00,000 - ₹1,50,000 = ₹98,50,000
3. Cash Margin Reserve (10%): ₹98,50,000 * 10% = ₹9,85,000 (retained by bank)
4. Advanced Principal (90%): ₹98,50,000 * 90% = ₹88,65,000 (active loan balance)
5. Upfront Processing Fee: ₹88,65,000 * 0.10% = ₹8,865
6. GST on Processing Fee (18%): ₹8,865 * 18% = ₹1,595.70 (rounded to ₹1,596)
7. 90-Day Interest Charge: ₹88,65,000 * 8.5% * 90 / 365 = ₹1,85,809.31 (rounded to ₹1,85,809)
8. Net Upfront Cash Payout Disbursed to Vibrant: ₹88,65,000 - (₹1,85,809 + ₹8,865 + ₹1,596) = **₹86,68,730**.

Part II: Dynamic 5-Day reducing balance transaction ledger

To illustrate the high efficiency of daily reducing balance working capital lines, the following ledger tracks Vibrant's active balances, interest charges, and dynamic drawing power over a highly volatile 5-day cycle:

DAY	TRANSACTION DETAIL	BALANCE IN USE	DAILY INTEREST	DP LEVEL	Strategic Insight
Day 1	Initial Disbursal	₹88,65,000	₹2,064.55	₹88,65,000	Initial 90% advance credited to Vibrant.

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Day 2	Vibrant sweeps excess cash	₹58,65,000	₹1,365.41	₹88,65,000	₹30 Lakhs sweep-in reduces active debt.
Day 3	Vibrant sweeps excess cash	₹58,65,000	₹1,365.41	₹88,65,000	Balance maintained; low interest accrues.
Day 4	Emergency Drawdown	₹78,65,000	₹1,831.03	₹88,65,000	Drawdown of ₹20 Lakhs for raw materials.
Day 5	Maturity run rate	₹78,65,000	₹1,831.03	₹88,65,000	Daily interest scales with outstanding usage.

Part III: Strategic Treasury Comparison & Credit Arbitrage

To evaluate the true economic yield of the Bill-to-Ship credit facility, we analyze a comparative scenario where Vibrant chooses not to utilize the credit line, opting to wait 90 days for standard invoice liquidation:

• Unfinanced Usance Path (Path A):

Vibrant holds a usance bill with no early financing. They wait 90 days. Due to this working capital lockup, Vibrant cannot pay its raw material suppliers early, missing out on a **2.0% upfront cash discount** offered on steel purchases worth **₹80,00,000** (Total discount value missed = **₹1,60,000**).

• Financed Bill-to-Ship Path (Path B):

Vibrant discounts the bill. They secure instant cash, paying their raw material suppliers on Day 1 to capture the ₹1,60,000 cash discount. Let us calculate the net financial gain:

1. Revenue discount offered to Apex: ₹1,50,000
2. Interest Paid to Bank: ₹1,85,809
3. Processing Fees + GST: ₹10,461
4. Less: Tax Shield Savings (25% on Interest/Fees): -₹49,068 [(₹1,85,809 + ₹10,461) * 0.25]

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5. Net Financing Cost (Post-Tax): **₹1,47,202**
6. Net Trade Discount Captured: **₹1,60,000**
7. Net Financial Arbitrage: **+₹12,798 in direct profit savings** achieved by choosing Path B over Path A, while securing instant operational liquidity with zero land collateral!

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Chapter 10: Practice Examination & Scenario-Driven Testing (10 Modules)

This chapter contains a rigorous, scenario-based practice examination designed specifically to evaluate a finance trainee's complete understanding of Bill-to-Ship structures, including tax codes, statutory acts, CERSAI filings, and credit arbitrage mathematics. Detailed answers and rationales are provided for each module.

Question 1

Under Section 10(1)(b) of the IGST Act, 2017, how is the 'place of supply' determined in a Bill-to-Ship transaction where a Pune supplier (A) delivers goods to a Bengaluru consignee (C) on the instruction of a Mumbai buyer (B)?
A) The place of supply is Pune (the location of the actual physical supplier).
B) The place of supply is Bengaluru (the location of physical delivery and receipt).
C) The place of supply is Mumbai (the principal place of business of the third person who directed the supply).
D) The place of supply is split equally between Mumbai and Bengaluru, requiring dual GST filings.

★ Correct Option: C.

★ Rationale & Analysis:
Under Section 10(1)(b) of the IGST Act, 2017, a 'legal deeming fiction' is established whereby the third person (the instruction-giver / Buyer B in Mumbai) is deemed to have received the goods, regardless of physical delivery. Therefore, the Place of Supply is the principal place of business of that third person, which is Mumbai. This allows the transaction to be legally treated as completed, enabling secure credit underwriting and input tax credit flow.

Question 2

To prevent double-financing fraud, within what statutory timeframe must a bank register a factoring or bill discounting transaction on CERSAI under the Factoring Regulation Act, 2011?
A) Within 3 days of limit sanctioning.
B) Within 30 days of the physical receipt of goods by the consignee.

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C) Within 10 days from the date of disbursal / assignment of receivables.
D) Within 45 days, subject to approval from the Reserve Bank of India.

★ Correct Option: C.

★ Rationale & Analysis:
Under Section 19 of the Factoring Regulation Act, 2011, every factoring and bill discounting transaction must be registered on CERSAI within a strict, non-negotiable **10-day statutory window** from the date of disbursal/assignment. This establishes legal priority and seniority of charge over book debts, preventing the borrower from pledging the same invoice with other lenders.

Question 3

Under Section 130 of the Transfer of Property Act, 1882, how does a bank legally secure its charge over the trade receivables in a Bill-to-Ship supply chain program?
A) By executing a physical pledge over the raw material inventory stored in the ultimate consignee's warehouse.
B) By registering a legal assignment of actionable claims, transferring all debt rights and recovery remedies from the supplier to the bank.
C) By executing an equitable mortgage over the promoter's residential and commercial properties.
D) By filing a suit in the National Company Law Tribunal (NCLT) for the immediate attachment of the Anchor's current accounts.

★ Correct Option: B.

★ Rationale & Analysis:
Under Indian law, a trade receivable is classified as an 'actionable claim'. Section 130 of the Transfer of Property Act, 1882 dictates that an actionable claim is assigned via a written instrument. By executing a legal assignment of actionable claims, the supplier transfers the absolute ownership of the trade receivable to the bank, allowing direct recovery from the corporate Anchor independent of any supplier disputes.

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Question 4

What is the function of the 'Non-Dispute Covenant' in a tripartite supply chain finance agreement signed by the Corporate Anchor?
A) It prevents the supplier from claiming input tax credits on the GSTR-1 portal.
B) It contractually obligates the consignee to accept late shipments without demanding commercial liquidated damages.
C) It contractually binds the Corporate Anchor to pay the discounted invoice in full, waiving all rights to set-offs or deductions once the bill is approved.
D) It provides a guarantee that the bank will never classify the underlying credit account as 'Out of Order' under IRACP norms.

★ Correct Option: C.

★ Rationale & Analysis:
The 'Non-Dispute Covenant' (or Non-Set-Off Covenant) is the ultimate risk shield for commercial banks. Under this clause, the Corporate Anchor legally waives its right to raise commercial disputes, quality rejections, or set-offs to delay payment to the bank. Once they approve the invoice in the digital portal, their repayment obligation to the lender becomes unconditional, absolute, and legally binding.

Question 5

Why is real-time API integration with the GSTR-2B ledger critical during the underwriting of a Bill-to-Ship credit transaction?
A) To ensure the supplier has paid the personal income tax liability under Section 281(1)(ii).
B) To verify that the invoice has been actively acknowledged for Input Tax Credit by the buyer, confirming the legitimacy of the underlying trade.
C) To calculate the promoter's corporate depreciation tax shield benefits under the Income Tax Act.
D) To automatically file the E-Way bill with the regional customs office.

★ Correct Option: B.

★ Rationale & Analysis:
By verifying GSTR-2B, the bank's digital portal ensures that the Corporate Buyer has actively acknowledged the invoice in their tax ledger for claiming Input Tax Credit (ITC). This

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auto-reconciliation serves as an absolute, tamper-proof notary of real-world trade, completely eliminating the risk of fake invoicing or paper transactions designed to hoard credit.

Question 6

Under the RBI's Digital Lending Directions, what is the maximum permissible cap on Default Loss Guarantee (DLG) arrangements with Fintech platforms or LSPs?
A) Capped at a strict 5% of the total underlying loan portfolio.
B) Capped at 15% of the net outstanding asset-backed exposures.
C) Capped at 25% of the average aggregate drawing power calculated under Nayak rules.
D) There is no regulatory cap, provided the fintech has a CIBIL MSME Rank of CMR-1.

★ Correct Option: A.

★ Rationale & Analysis:
To prevent systemic credit risks and credit hoarding by uncapitalized fintech intermediaries, the RBI's Digital Lending Directions strictly cap all first-loss default guarantee (DLG) arrangements at **5%** of the total underlying loan pool.

Question 7

A regional distributor has a channel financing limit. Under RBI IRACP directions, what overdue period on an individual discounted invoice triggers classification as 'Out of Order' / Non-Performing Asset (NPA)?
A) Overdue past 30 days from the original billing date.
B) Overdue past 60 days from the physical dispatch of goods.
C) Overdue past 90 days from the invoice's usance maturity date.
D) Overdue past 180 days, provided no stock statements were submitted.

★ Correct Option: C.

★ Rationale & Analysis:
Under RBI's Master Directions on Asset Classification, any revolving or transaction-based credit

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line is classified as a Non-Performing Asset (NPA) if any individual bill, transaction, or interest charge remains overdue past a **strict 90-day window** from its usance maturity date.

Question 8

How is Goods and Services Tax (GST) applied to Bill-to-Ship credit transactions under Indian tax guidelines?
A) GST at 18% is applied to the entire invoice value, while interest is GST-exempt.
B) GST at 18% is applied strictly to upfront bank processing fees, arrangement charges, and transaction fees, while the core interest is completely GST-exempt.
C) GST at 12% is applied to the daily interest charge, while processing fees are tax-free under Priority Sector Lending.
D) Bill-to-Ship structures are completely GST-free to support intermediate MSME manufacturing.

★ Correct Option: B.

★ Rationale & Analysis:
Under Indian GST rules, interest or discounting charges paid to banks and financial institutions are completely exempt from GST. However, any administrative fees, setup commissions, processing fees, or SWIFT transaction fees are subject to the standard service tax of **18% GST**.

Question 9

Calculate the effective, after-tax cost of borrowing for an enterprise that discounts an invoice at a nominal interest rate of 9.0% p.a., if the corporate tax rate is 25% and interest represents a tax-deductible expense under Section 36(1)(iii).
A) 9.00% p.a.
B) 7.25% p.a.
C) 6.75% p.a.
D) 11.25% p.a.

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★ Correct Option: C.

★ Rationale & Analysis:
Interest represents a fully tax-deductible operational expense, creating an Interest Tax Shield.
Effective After-Tax Cost = Nominal Interest Rate * (1 - Tax Rate)
Effective Cost = 9.0% * (1 - 0.25) = **6.75% p.a.** This highlights why transaction-backed credit is highly cash-efficient for corporate treasuries.

Question 10

Under the RBI's Digital Lending guidelines, what are the permissible hours during which recovery agents or lenders can contact a commercial borrower for debt collection?
A) 24 hours a day, via automated IVR dialers and WhatsApp bots.
B) Strictly between 8:00 AM and 7:00 PM.
C) Strictly between 10:00 AM and 5:00 PM, excluding bank holidays.
D) Strictly between 9:00 AM and 6:00 PM on weekdays only.

★ Correct Option: B.

★ Rationale & Analysis:
The RBI's Digital Lending and Customer Protection Directions strictly enforce fair practices for debt collection. Any physical or telephonic outreach for debt recovery must occur strictly within the designated, reasonable practicing window of **8:00 AM to 7:00 PM** to prevent harassment.

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